National Income (NNP_{FC}) = Gross Value Added by all the production Enterprises within the Domestic Territory of the Country − Depreciation − Net Indirect Taxes + Net Factor Income from Abroad

[Where, Net Indirect Taxes = Indirect tax − Subsidies]

[Gross Value Added = Value of Output − Intermediate Consumption]

Value of Output = Sales + Change in Stock

Where, Change in Stock = Closing Stock − Opening Stock

Note: If entire out put is sold within the year, then value of output will be equal to sales itself.

or

Value of Output = Price x Quantity Sold

GDP_{MP} = Private Final Consumption + Government Final Consumption Expenditure + Gross Domestic Capital Formation + Net Exports (Exports − Imports)

2.6 Importance of National Income Analysis

National income is of great importance for the economy of a country. Nowadays the national income is regarded as accounts of the economy, which are known as social accounts. It enables us

1. To know the relative importance of the various sectors of the economy and their contribution towards national income; from the calculation of national income, we could find how income is produced, how it is distributed, how much is spent, saved or taxed.
2. To formulate the national policies such as monetary policy, fiscal policy and other policies; the proper measures can be adopted to bring the economy to the right path with the help of collecting national income data.
3. To formulate planning and evaluate plan progress; it is essential that the data pertaining to a country's gross income, output, saving and consumption from different sources should be available for economic planning.
4. To build economic models both in short - run and long - run.
5. To make international comparison, inter - regional comparison and inter - temporal comparison of growth of the economy during different periods.
6. To know a country's per capita income which reflects the economic welfare of the country (Provided income is equally distributed)
7. To know the distribution of income for various factors of production in the country.
8. To arrive at many macro economic variables namely, Tax – GDP ratio, Current Account Deficit - GDP ratio, Fiscal Deficit - GDP ratio, Debt - GDP ratio etc.

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